

Investment pack for M2 Ventures GmbH · Document 1 of 4 · Ref LCY-M2V-2026-01 · Confidential · September 2026

The unit of account: 1 MWp of solar with a 1 MW / 4 MWh battery

Cyprus, September 2026

Cyprus has no electricity interconnector. In the first five months of 2026 the grid refused roughly 65% of the island's potential solar generation, while evening power cleared at some of the highest prices in Europe. Every asset in this pack is built from one unit: a megawatt-peak of solar paired with a four-hour battery. The solar is sized to the land and the grid connection; the battery is sized to the *curtailment*, so that energy the grid refuses at midday is stored at no fuel cost and sold into the evening peak. This page is the arithmetic of that unit. The three project teasers that follow are the same block, scaled.

1.0 MWp 1,471 × 680 Wp, 31° south	1.0 / 4.0 MW / MWh LFP, four-hour	€1.36m Turnkey build cost, ex VAT	€232,900 Year 1 EBITDA, unlevered	17.1% Year 1 yield on cost
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Why the battery is four hours, and not the one hour in the brief

M2's inquiry specifies up to 5 MWp of solar with up to 5 MWh of storage — a one-hour battery. In a market curtailing 65% of solar output, one hour is the wrong instrument. It absorbs less than a quarter of what the grid refuses, and the rest is still lost. The table is the same 1 MWp plant with five different battery sizes at the 2026 curtailment rate.

Battery per MWp	Curtailed energy available	Delivered to the evening market	Share of curtailed energy captured	Battery revenue, Year 1
1.0 MWh — one hour, as per the brief	1,426 MWh	320 MWh	22.4%	€56,100
2.0 MWh — two hours	1,426 MWh	641 MWh	44.9%	€112,200
3.0 MWh — three hours	1,426 MWh	961 MWh	67.4%	€168,200
4.0 MWh — four hours, base case	1,426 MWh	1,215 MWh	85.2%	€212,600
5.0 MWh — five hours	1,426 MWh	1,215 MWh	85.2%	€212,600

At 65% curtailment a 1 MWp plant at 2,194 kWh/kWp sheds 1,426 MWh a year, an average of 3.9 MWh a day and more in spring. Below four hours the battery is charge-limited for much of the year. The fourth megawatt-hour costs €127,000 and adds €44,400 a year of battery revenue — a 35% marginal return and a 2.9-year payback on that increment alone. The fifth adds nothing: the curtailed energy runs out before the battery fills. Four hours is not a preference, it is where the arithmetic stops.

Year one, per 1 MWp block

Energy and revenue	MWh	€/MWh	€	Turnkey build cost, ex VAT	€
Gross generation	2,194	—	—	PV EPC — 1.0 MWp at €0.72/Wp	720,000
Exported directly (35%)	768	127	97,500	BESS EPC — 4.0 MWh at €127k/MWh	508,000
Curtailed, recovered by battery	1,215	175	212,600	Development, grid, permits, contingency	132,600
Curtailed, not recovered	211	—	—	Total, excluding land and acquisition	1,360,600
Gross energy revenue	1,983	156	310,100	Year 1 yield on cost	17.1%
Aggregator and offtake fee, 10%			(31,000)	Simple payback, unlevered	5.8 years
Operating cost — O&M, insurance, land			(46,200)	Realised average price, all energy sold	€156/MWh
Year 1 EBITDA, unlevered			232,900	Land	Leased, not purchased

The battery earns 69% of the revenue from 61% of the energy.

Unlevered, before Cyprus corporate income tax of 15%. Site acquisition costs are shown in each project teaser. Ready-to-build is costed at €350,000/MW where an acquisition is required.

The return is close to indifferent to curtailment. That is the whole case.

Curtailment scenario	Exported	Recovered by battery	Year 1 EBITDA	Yield on cost	Same plant with no battery
35% — grid reinforcement succeeds	1,426 MWh	654 MWh	€219,800	16.2%	16.0%
50% — 2025 national actual was 47.4%	1,097 MWh	935 MWh	€226,400	16.6%	11.6%
65% — 2026 national actual, base case	768 MWh	1,215 MWh	€232,900	17.1%	7.2%
75% — further deterioration	548 MWh	1,282 MWh	€218,300	16.0%	4.2%

Right-hand column: the same 1 MWp plant built without storage, measured against a PV-only cost of €852,600 and PV-only operating cost of €26,700. Rising curtailment takes a solar park without storage from 16.0% to 4.2%. It moves a park with a four-hour battery by about a percentage point. At 75% the four-hour battery saturates — delivered energy is capped at 1,282 MWh by round-trip throughput, not by the curtailed volume. This is why we build solar and storage together rather than solar first and storage later.

How this scales to the mandate

M2's envelope is up to 5 MWp. On the four-hour ratio that is up to 20 MWh of storage rather than the 5 MWh in the original brief, and it is the first point we would want to discuss. The three project teasers that follow are **Agios Theodoros** (2.64 MWp, ready to build), **Margí** (5.0 MWp under one licence: 3.3 MWp operating plus 1.7 MWp captive expansion), and **Sotira** (6.53 MWp). Margí is the combination that sits on the 5 MWp envelope. Agios Theodoros is the smaller ready-to-build alternative. Sotira is the larger engineering case if the ceiling is indicative.

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Basis. Wholesale prices from published TSOC day-ahead market files, 1 Oct 2025 – 11 Feb 2026 (134 trading days, 6,432 half-hourly prints): daytime average €127/MWh, evening peak (17:00–21:00) average €183/MWh. This pack takes €175/MWh for evening capture, €8/MWh below the measured average. Curtailment base case of 65% is the published national rate for January–May 2026 (162 GWh curtailed); 2025 full year was 47.4% (306 GWh, CyprusGrid). South-facing new-build yield is 2,194 kWh/kWp · yr (PVGIS 5.3 south 31° front 2,006 at the Sotira TMY, plus +9.3% bifacial at albedo 0.25, GCR 0.45, ϕ 0.85, 680 Wp n-type). Margí operating uses metered 2,100. Sotira east–west is 1,806. PVsyst before commitment. Battery round-trip efficiency 87.8% AC–AC; effective capture of curtailed energy 85%, being daily-shape collection multiplied by round-trip efficiency. EPC rates €0.72/Wp (PV, turnkey) and €127,000/MWh (BESS, ex VAT) per the Lighthief EPC workbook v4, February 2026, and are indicative pending final specification and equipment pricing at the date of order. Ready-to-build site cost is €350,000/MW where an acquisition is required. Revenues are stated after a 10% aggregator and offtake fee on merchant energy and before Cyprus corporate income tax, which rose from 12.5% to 15% on 1 January 2026. Figures are unlevered and exclude VAT. Merchant exposure to a day-ahead market with under two years of published price history is the single largest uncertainty in this case; no merchant revenue is contracted.

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